NextEra Energy, Inc.

NEE NYSE

Buy	$87.39 ▲ 1.19%	12M Price Target **$98.00**	52-Week Range $69.24 – $98.75	Market Cap $182.27B

NEE: AI Power Demand Meets Uncertain Tax Credit Future

WHAT HAPPENED

- Stock bounced +1.19% today after yesterday's dip — nothing company-specific, just tracking utilities sector recovery (+0.92%). Volume today was super light (1.5M vs usual 12M+), so don't read too much into the move — half of Wall Street is already on the beach for July 4th.
- The big story hovering over NEE is that Dominion megamerger headline — it's reframing the whole utilities sector as "AI infrastructure plays," which is bullish for NEE because they're the biggest renewables developer feeding the data center power boom.

WHY IT MATTERS

Here's the thing to understand: NEE isn't really a boring utility anymore — it's become a proxy bet on whether AI data centers can get enough clean electricity. Hyperscalers (Amazon, Microsoft, Google) have net-zero pledges AND desperate power needs, and NEE has the biggest renewable pipeline in the country to sell them. The market is starting to re-rate utilities as "AI picks and shovels" plays (that megamerger headline is evidence), and NEE should benefit from that narrative shift. But — and this is important — the stock is stuck in a tug-of-war between "AI power demand is a gold mine" and "what if Republicans gut the Inflation Reduction Act tax credits that make solar/wind projects profitable?"

POLICY & POLITICAL WATCH

The single biggest thing to watch is the fate of the Inflation Reduction Act's clean energy tax credits (the Production Tax Credit and Investment Tax Credit) — these are worth billions to NEE's project economics. The Trump administration has been chipping away at them, and any budget reconciliation bill that phases them out faster would compress NEE's project returns. On the flip side, there's growing bipartisan recognition that we NEED more power for AI/data centers fast, and renewables are the fastest to build — so even a Republican Congress may keep credits partially intact for baseload-adjacent projects. Watch for FERC transmission rulings too — faster grid interconnection = faster revenue for NEE.

IS IT EXPENSIVE?

At ~$87, NEE trades at roughly 23x forward earnings — meaning you're paying $23 for every $1 of profit expected next year. That's a premium to boring utility peers (Duke, Southern trade around 18-19x) but a discount to pure-play "AI infrastructure" names. The premium is justified IF you believe the data center power thesis plays out; it looks stretched if tax credits get gutted. At 62% of its 52-week range, it's neither cheap nor euphoric — reasonable spot to build a position.

Key Data

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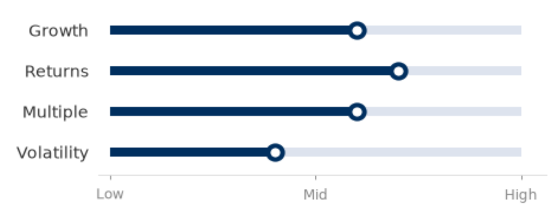
Price (USD)	$87.39
12M Price Target	$98.00
Upside / (Downside)	+12.1%
Market Cap	$182.27B
FY2026E Revenue	$28,500M
FY2027E Revenue	$31,200M
FY2026E EPS	$3.75
FY2027E EPS	$4.15
Fwd P/E	23.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

NEE — NextEra Energy, Inc. | July 02, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$92.00**	$88.00	**$82.00**
6 Months	**$100.00**	$92.00	**$78.00**
1 Year	**$110.00**	$98.00	**$75.00**
2 Years	**$130.00**	$108.00	**$70.00**
5 Years	**$175.00**	$140.00	**$65.00**
10 Years	**$260.00**	$190.00	**$80.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+4.4% over 5D) is leading — likely rotation into defensive names as investors get nervous about high-multiple tech. Utilities and Energy also catching bids as the "power for AI" theme keeps building.

COOLING OFF: Utilities were down 1.5% over 5 days before today's bounce — that's the tax credit uncertainty pressure. Materials also weak on China/tariff concerns.

ROTATION WATCH: Money is quietly moving into "old economy" sectors that benefit from AI (utilities, industrials) rather than paying 40x for pure AI plays. That's a slow-motion tailwind for NEE.

RELATED PLAY: If NEE's data-center-power thesis works, the actual data center REITs (DLR, EQIX) and the grid equipment makers (GEV, ETN) capture the same tailwind — often with better momentum.

WHO'S WINNING IN THIS SPACE?

- CEG (Constellation Energy): winning big because nuclear is the AI power darling — hyperscalers are signing 20-year deals for their baseload
- VST (Vistra): similar story — nuclear + gas fleet perfectly positioned for AI demand

NEE CONTEXT: NEE is lagging the pure "AI power" names because renewables have policy risk that nuclear doesn't. If the market decides tax credits are safe, NEE catches up fast — that's the mean-reversion trade here.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — solid Buy, not a table-pounder. The AI power demand story is real and durable, but policy overhang caps my enthusiasm until we get clarity on tax credits.

POSITION SIZE: 3-5% of portfolio — big enough to matter, small enough that a tax credit shock doesn't wreck you.

ENTRY POINTS: Add on pullbacks to $82-85, which is where the stock has found support recently. Full position if we get a policy-driven flush to $78.

TIME HORIZON: 12-24 months — the catalyst is either (a) clarity on IRA tax credits by end of 2026, or (b) big data center power contract announcements.

WHEN TO BAIL: If Congress passes a bill that fully repeals PTC/ITC for new projects, or if NEE misses earnings badly on project delays, cut it.

HEDGING: Pair it with a natural gas utility (like a Sempra or Williams) — if renewables get politically wrecked, gas benefits, so the two offset each other.